MASTER PAYROLL OUTSOURCING AGREEMENT

on the Customer's standard terms for outsourced services

dated ____ February 2027

BETWEEN

MERIDIAN FREIGHT & LOGISTICS PRIVATE LIMITED
(as the Customer)

AND

PAYNEST TECHNOLOGIES PRIVATE LIMITED
(as the Service Provider)

Procurement Reference: MFL/PROC/HR/2027/114
Fictional sample agreement prepared for training and testing purposes only.

THIS MASTER PAYROLL OUTSOURCING AGREEMENT (this "Agreement") is entered into on the date set out on the cover page.

BETWEEN:

(1) MERIDIAN FREIGHT & LOGISTICS PRIVATE LIMITED, a company incorporated under the Companies Act, 2013, having its registered office at Plot 7, Ennore Port Road, Chennai 600057, Tamil Nadu, India (the "Customer"); and

(2) PAYNEST TECHNOLOGIES PRIVATE LIMITED, a company incorporated under the Companies Act, 2013, having its registered office at Nest Towers, Outer Ring Road, Bellandur, Bengaluru 560103, Karnataka, India (the "Service Provider").

The Customer and the Service Provider are each a "Party" and together the "Parties".

BACKGROUND:

(A) The Customer operates freight forwarding, warehousing and last-mile delivery businesses across India and employs approximately 6,500 permanent staff and 2,000 contract drivers.

(B) The Customer has issued this Agreement on its standard form for outsourced services following a competitive tender in which the Service Provider was selected.

(C) The Service Provider provides payroll processing, statutory compliance and employee self-service services from data centres located in India.

IT IS AGREED as follows:

1. DEFINITIONS AND INTERPRETATION

1.1 In this Agreement the following words have these meanings:

"Business Day" means any day other than a Saturday, Sunday or gazetted public holiday in Chennai.

"Customer Data" means all data, including Personal Data of the Customer's employees and contract drivers, supplied to or generated by the Service Provider in performing the Services.

"Confidential Information" means all non-public information of either Party, including the terms of this Agreement, pricing, employee information, platform architecture and technical and security documentation.

"Fees" means the charges set out in Schedule 3.

"Personal Data" has the meaning given to it in the Digital Personal Data Protection Act, 2023.

"Platform" means the Service Provider's hosted payroll application used to deliver the Services.

"Security Incident" means any confirmed unauthorised access to, or disclosure, alteration or loss of, Customer Data.

"Services" means the services described in Schedule 1.

1.2 Headings do not affect interpretation. The words "including" and "include" are illustrative and do not limit the preceding words.

2. APPOINTMENT AND TERM

2.1 The Customer appoints the Service Provider to provide the Services from the Effective Date.

2.2 This Agreement starts on the Effective Date and continues for an initial term of 3 years, after which it renews for successive 12-month periods unless either Party gives notice of non-renewal at least 90 days before the end of the then-current term.

3. SERVICES

3.1 The Service Provider shall provide the Services in accordance with Schedule 1, Applicable Law and good industry practice.

3.2 The Customer shall provide complete and accurate payroll inputs, including attendance, overtime and trip allowances for contract drivers, no later than the 20th day of each month.

3.3 The Service Provider is not responsible for any error caused by inaccurate or late inputs supplied by the Customer.

4. SERVICE LEVELS

4.1 The Service Provider shall ensure that the Platform is available to the Customer and its employees 99.95% of the time in each calendar month, excluding scheduled maintenance notified to the Customer at least 48 hours in advance.

4.2 If availability falls below the level in Clause 4.1, the Service Provider shall credit the Customer the amounts set out in Schedule 2. Service credits are capped at 10% of the monthly Fees and are the Customer's sole and exclusive remedy for a failure to meet the availability level.

4.3 The Service Provider shall report availability for each month within 10 Business Days of the end of that month.

5. FEES AND PAYMENT

5.1 The Service Provider shall invoice the Fees monthly in arrears on or after the last Business Day of each month.

5.2 The Customer shall pay each undisputed invoice within 75 days of receipt of a valid invoice at its accounts payable office in Chennai.

5.3 If the Customer disputes any part of an invoice in good faith, it shall notify the Service Provider of the disputed amount and the reasons within 15 days of receipt and shall pay the undisputed portion in accordance with Clause 5.2.

5.4 All Fees are exclusive of goods and services tax, which shall be payable in addition at the applicable rate.

5.5 The Fees are fixed for the initial term. Any revision thereafter requires the written agreement of both Parties.

6. DATA PROTECTION

6.1 Each Party shall comply with the Digital Personal Data Protection Act, 2023 and all other

Applicable Law relating to Personal Data.

6.2 The Service Provider shall process Customer Data only on the documented instructions of the Customer and only for the purpose of providing the Services.

6.3 The Service Provider shall store and process Customer Data only in data centres located in India and shall not transfer Customer Data outside India without the Customer's prior written consent.

6.4 The Service Provider shall ensure that its personnel who access Customer Data are bound by written obligations of confidentiality.

7. DATA SECURITY AND BREACH NOTIFICATION

7.1 The Service Provider shall maintain an information security programme certified to ISO/IEC 27001 and shall keep that certification current throughout the term.

7.2 The Service Provider shall encrypt Customer Data in transit and at rest and shall restrict access to Customer Data to personnel who need it to perform the Services.

7.3 The Service Provider shall notify the Customer in writing within 48 hours after confirming any Security Incident, and shall provide a written incident report describing the nature of the incident, the data affected and the remedial steps taken within 5 Business Days after that notice.

7.4 The Service Provider shall cooperate with the Customer and take all reasonable steps to contain and remedy any Security Incident.

8. AUDIT

8.1 The Customer may, once in any calendar year and on at least 30 days' written notice, appoint an independent auditor to audit the Service Provider's compliance with this Agreement.

8.2 Any audit shall take place during business hours, shall be conducted at the Customer's cost, shall be limited to records and systems relating to the Services, and shall be carried out by an auditor who is bound by confidentiality and is not a competitor of the Service Provider.

8.3 The Service Provider may satisfy an audit request by providing its most recent ISO/IEC 27001 certificate and independent SOC 2 Type II report, where these cover the matters to be audited.

9. CONFIDENTIALITY

9.1 Each Party shall keep the other Party's Confidential Information confidential and shall use it only for the purposes of this Agreement.

9.2 Confidential Information of the Service Provider includes its pricing, Platform architecture and technical and security documentation.

9.3 Clause 9.1 does not apply to information that is or becomes public other than through a breach of this Agreement, was lawfully known to the recipient before disclosure, is independently developed, or must be disclosed by law or by order of a court or regulator.

9.4 This Clause 9 survives termination or expiry of this Agreement for 3 years.

10. INTELLECTUAL PROPERTY

10.1 The Platform and all intellectual property rights in it remain the property of the Service Provider.

10.2 Customer Data and all reports generated from it remain the property of the Customer.

11. INDEMNITIES

11.1 Each Party (the "Indemnifying Party") shall indemnify the other Party against losses arising from third-party claims to the extent caused by the Indemnifying Party's breach of this Agreement, negligence or wilful misconduct.

11.2 The indemnified Party shall promptly notify the Indemnifying Party of any claim, allow it to conduct the defence and settlement of the claim, and provide reasonable assistance at the Indemnifying Party's cost.

11.3 This Clause 11 is subject to Clause 12.

12. LIABILITY

12.1 Subject to Clause 12.2, each Party's total liability arising out of or in connection with this Agreement shall not exceed the Fees paid or payable in the 12 months before the event giving rise to the claim.

12.2 For any breach of Clause 6 (Data Protection) or Clause 7 (Data Security and Breach Notification), the Service Provider's total liability shall not exceed the Fees paid or payable in the 36 months before the event giving rise to the claim.

12.3 Neither Party is liable for any indirect or consequential loss, or for loss of profit, revenue or goodwill.

12.4 Nothing in this Agreement limits liability for fraud or for death or personal injury caused by negligence.

13. TERM AND TERMINATION

13.1 Either Party may terminate this Agreement for convenience by giving the other Party not less than 60 days' written notice.

13.2 Either Party may terminate this Agreement by written notice if the other Party commits a material breach and fails to remedy it within 30 days of receiving notice requiring it to do so.

13.3 On termination, the Customer shall pay the Fees for all Services performed up to the date of termination. No Fees paid for Services already performed shall be refundable.

14. EXIT

14.1 Within 10 Business Days after termination or expiry, the Service Provider shall return all Customer Data to the Customer in CSV format and delete it from its production systems.

14.2 Backup copies of Customer Data shall be deleted in the Service Provider's next scheduled

backup rotation, and the Service Provider shall confirm deletion in writing.

15. GOVERNING LAW AND DISPUTES

15.1 This Agreement is governed by the laws of Singapore.

15.2 Any dispute arising out of or in connection with this Agreement shall be finally resolved by arbitration administered by the Singapore International Arbitration Centre in accordance with its rules. The seat of arbitration is Singapore and the language is English.

16. GENERAL

16.1 Neither Party may assign this Agreement without the prior written consent of the other Party, not to be unreasonably withheld.

16.2 Notices must be in writing and delivered by hand, courier or email to the addresses notified by each Party.

16.3 This Agreement is the entire agreement between the Parties and supersedes all earlier proposals, tender responses and correspondence.

IN WITNESS WHEREOF the Parties have signed this Agreement through their authorised representatives on the date set out on the cover page.

For and on behalf of
MERIDIAN FREIGHT & LOGISTICS PRIVATE LIMITED

Signature: _____

Name: _____

Designation: Chief Human Resources Officer

Date: _____

For and on behalf of
PAYNEST TECHNOLOGIES PRIVATE LIMITED

Signature: _____

Name: _____

Designation: General Counsel

Date: _____

SCHEDULE 1 - SERVICES

(a) Monthly payroll processing for permanent staff, including allowances, deductions, bonuses and full and final settlements.

(b) Weekly wage processing for contract drivers based on trip data supplied by the Customer.

(c) Statutory compliance: tax deducted at source, provident fund, employees' state insurance, professional tax and labour welfare fund filings.

(d) A mobile employee self-service application in English, Hindi and Tamil.

(e) A dedicated account manager and a helpdesk available from 8:00 a.m. to 8:00 p.m. on Business Days.

SCHEDULE 2 - SERVICE CREDITS

(a) Availability of 99.95% or higher: no service credit.

(b) Availability of 99.5% or higher but below 99.95%: service credit of 5% of the monthly Fees.

(c) Availability below 99.5%: service credit of 10% of the monthly Fees.

SCHEDULE 3 - FEES

(a) Implementation fee: INR 4,50,000 (Rupees Four Lakh Fifty Thousand), payable on go-live.

(b) Monthly fee: INR 95 (Rupees Ninety-Five) per permanent employee processed and INR 40 (Rupees Forty) per contract driver processed.

(c) All Fees are exclusive of goods and services tax.